

Apple Inc. (AAPL) — FY 2024 Annual Financial Review

Period Ended: September 28, 2024 | **Filing:** Form 10-K Annual Report Summary

1. Executive Overview & CEO Commentary

In Fiscal Year 2024, Apple Inc. generated total net sales of \$391.04 billion, representing a 2.0% increase year-over-year compared to \$383.29 billion in Fiscal Year 2023. Net income rose to \$93.74 billion, with diluted earnings per share (EPS) reaching \$6.08, up from \$5.67 in FY 2023. The growth was primarily driven by all-time record revenue in Services and steady customer demand for the iPhone 16 product family powered by Apple Intelligence.

2. Consolidated Statements of Operations (in Millions, except per share amounts)

Metric	FY 2024	FY 2023	FY 2022	YoY Growth (%)
Total Net Sales	\$391,035	\$383,285	\$394,328	+2.0%
Total Cost of Sales	\$210,352	\$214,137	\$223,546	-1.8%
Gross Margin	\$180,683	\$169,148	\$170,782	+6.8%
Research & Development (R&D)	\$31,370	\$29,915	\$26,251	+4.9%
Selling, General & Admin (SG&A)	\$25,180	\$24,932	\$25,094	+1.0%
Operating Income	\$123,233	\$114,301	\$119,437	+7.8%
Net Income	\$93,736	\$96,995	\$99,803	-3.4%
Diluted Earnings Per Share (EPS)	\$6.08	\$5.67	\$6.11	+7.2%

3. Revenue by Product and Services Category

Segment	FY 2024 Net Sales	FY 2023 Net Sales	Contribution (%)
iPhone	\$201,183 million	\$200,583 million	51.4%
Services (App Store, iCloud, Pay)	\$96,169 million	\$85,200 million	24.6%
Wearables, Home & Accessories	\$37,005 million	\$39,845 million	9.5%
Mac (MacBook, iMac)	\$29,984 million	\$29,357 million	7.7%
iPad	\$26,694 million	\$28,300 million	6.8%
Total Net Sales	\$391,035 million	\$383,285 million	100.0%

4. Strategic Investments: Artificial Intelligence & Apple Intelligence

During FY 2024, Apple accelerated its capital expenditure and research in foundational on-device and private cloud AI architectures. The company launched Apple Intelligence, an integrated generative AI system embedded across iOS 18, iPadOS 18, and macOS Sequoia. Research and development expenses totaled \$31.37 billion, representing 8.0% of total revenue. Management highlighted that private cloud compute infrastructure utilizes custom Apple silicon data

centers, maintaining end-to-end data encryption and strict user privacy.

5. Risk Factors & Forward-Looking Disclosures

Global Supply Chain Dependencies: Substantially all manufacturing and assembly operations are concentrated in outsourced facilities across the Asia-Pacific region, primarily in China, India, and Vietnam. Disruptions caused by geopolitical instability, trade restrictions, export controls on advanced semiconductor manufacturing tools, or natural disasters could materially impair product deliveries.

Regulatory & Antitrust Scrutiny: Apple faces ongoing regulatory investigations and legal challenges regarding its App Store fees, anti-steering provisions, and mobile operating system ecosystem in the European Union under the Digital Markets Act (DMA) and in the United States Department of Justice antitrust lawsuit.

Foreign Exchange Volatility: Because over 58% of net sales are generated outside the United States, currency fluctuations (notably the Euro, Japanese Yen, and Chinese Renminbi against the US Dollar) pose continuing headwinds to reported gross margins.